

The Platform for Collaboration on Tax

Draft Toolkit for Addressing Difficulties in Accessing Comparables Data for Transfer Pricing Analyses

Comments by NERA Economic Consulting¹

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VIA E-MAIL to GlobalTaxPlatform@worldbank.org

Dear Sir or Madam,

We thank you for the opportunity to provide comments on the Draft Toolkit released by the Platform for Collaboration on Tax (“PCT”) on January 24, 2017, comprising two separate documents (i) A Toolkit for Addressing Difficulties in Accessing Comparables Data for Transfer Pricing Analyses (the “Draft Toolkit”) and (ii) Addressing the Information Gaps on Prices of Minerals Sold in an Intermediate Form (“the Minerals Draft”).

Introduction

As an introductory comment, we would like to stress our strong support for application of the Arm’s Length Principle (“ALP”) in controlled transactions, including the transactions that involve taxpayers in developing countries. We recognize that challenges with implementation of ALP for developing countries are real, and these challenges have sometimes been cited as reasons for developing countries to apply methods alternative to the ALP. One of the most often mentioned challenges with the ALP implementation in developing countries is the absence of reliable data for independent companies in those countries that could be used as comparables for the purposes of the transfer pricing analysis. This challenge has led NERA economists to conduct research on techniques that could potentially help to cope with the absence of comparables data in certain countries/regions. This research was discussed in the following publications:

¹ These comments represent views of the authors and do not necessarily reflect the views of NERA Economic Consulting.

1. S. Gonnet, V. Starkov and M. Maitra, “Comparability adjustments in the absence of suitable local comparables in emerging and developing economies”, *Transfer Pricing International Journal*, July, 2013,
2. V. Starkov, S. Gonnet, A. Pletz, and M. Maitra, “Comparability adjustments in the absence of suitable local comparables in emerging and developing economies – Case studies”, *Transfer Pricing International Journal*, March 2014.
3. V. Starkov, M. Maitra, and A. Li. 2015, “Comparability adjustments in the absence of suitable local comparables in emerging and developing economies – Adjustment for risk”, *Transfer Pricing International Journal*, May 2015.

While this research is far from being exhaustive in addressing the topic of comparability adjustments, we are pleased to note that some of these publications have been referenced in the Draft Toolkit (e.g., in Part II, Sections 5.3 and 5.5, and in Appendix 14).

In our comments below, we confirm that in cases when suitable local comparables are absent, we support using comparables from other countries or regions with adjustments for differences in the economic conditions in which they operate. We believe that this approach is a viable option to cope with the absence of comparables in a certain country / region, particularly in light of the large amount of reliable financial information available in certain regions of the world covering a wide spectrum of industries and functions.

We also agree with the suggestion contained in the Draft Toolkit that the proposed country risk adjustments techniques need further studies and refinements. While these adjustments have been used in practice in real transfer pricing cases, additional research and substantiation needs to be performed to confirm the relevance of such adjustments, the circumstances in which they may apply, and the limitations of such adjustments.

Our comments below principally focus on the feasibility of using comparables from other regions and adjustments that can be made to improve reliability of these comparables. We have also commented on a few other questions posed by the Draft Toolkit authors, but our comments do not cover the entire range of topics for which comments were requested.

In our opinion, any approach that departs from the ALP is far from ideal. For instance, secret comparables should be avoided (outside of the risk assessment tools used by tax authorities); safe harbors, while appealing due to the simplicity of their application, should be used with caution as their unilateral application may lead to pricing distortions; the Location Specific Advantages framework may also prove relevant for transfer pricing analysis in developing countries.

Economists at NERA will be pleased to continue assisting the PCT in developing tools that rely on sound economic analysis in order to make the ALP implementable in developing countries.

Best regards,

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Sébastien Gonnet

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Comments by NERA Economic Consulting on Certain Questions Posed by the Platform for Collaboration on Tax²

2. How can better use of administrative information, in a way that maintains taxpayer confidentiality, be effectively facilitated at a country and regional level?

As mentioned previously, the ALP is not always simple to implement. It relies heavily on facts and circumstances. As such, it requires an open dialogue between taxpayers and tax administrations. Consequently, we do not think that the ALP can be, in its very principle, applied where a tax administration would rely on non-public administrative information (“secret comparables”). Secret comparables are a way to enforce a policy that pose many disadvantages for taxpayers, such as pricing distortions, taxpayers, and risk of double taxation.

The Draft Toolkit rightly points out that:

“non-public administrative information can be highly relevant in practice. Typically, it is the main source of information for the design of benchmarks for risk assessment guiding audit selection”

We certainly agree that tax administrations have a right to design benchmarks using the information available to them. Yet, the Draft Toolkit should emphasize that such information should only be used for risk assessment purposes and discourage the use of secret comparables in tax audit and litigation proceedings, for the reasons stated above.

² These comments represent views of the authors and do not necessarily reflect the views of NERA Economic Consulting.

3. How could the reliability of potential comparables from other geographic markets be tested?

4. Are there best practices or other reliable approaches for dealing with a lack of comparables not addressed in the discussion draft?

5. What other adjustments for geographic market differences could be made, and in what circumstances? How could the reliability of such adjustments be empirically tested?

To begin with, reliability of comparables depends first and foremost on *functional comparability* between the controlled tested party and the uncontrolled companies selected as candidate comparables.

Second, when considering using comparables from other regions, it's important to recognize that markets for different products and activities may have very different geographic footprints: while markets for some products are services are globalized, markets for others are local.

The comparability analysis should consider both of the above factors. Provided that functional comparability is established as a first step, the second step would be to determine whether the market for a given product or service can be described as global, regional, or local. Insights from the industrial organization field may be helpful as well (industry analysis, market structures, etc.).

Further, companies located in the same country (or region) as the controlled tested party but that are *not* functionally comparable with the tested party should not be expected to serve as proper comparables. The reason for this is twofold: (1) different functions are expected to have different economic returns and (2) local companies with dissimilar functions may be involved in value chains that are entirely different from the one the controlled party operates in.

Let us consider some examples to illustrate the above points.

In the first case, we assume that the market for a given product or service is globalized and functions in a long-term equilibrium (meaning that first-mover location savings advantages are not present).

In this scenario, it may be the case that independent companies from one country or region are well suited as comparables to a controlled party that operates in a different region, and *no geographical comparability adjustments are required*.³

³ Depending on the facts, working capital adjustments may still be considered.

However, if the global market for a product or service is in an evolving mode, certain countries or regions that are part of the global supply chain may present temporary opportunities for location savings, and the location savings dynamics will have to be taken into account.⁴

In another case, let's assume that the market for a product or service is localized.

Here, it is likely that an application of functionally comparable independent companies from another region to test profitability of a local controlled party will require some adjustments, because companies from economically isolated markets may be expected to earn different rates of return.

A case when such adjustments are needed may be illustrated as follows:

A controlled taxpayer operates in a Country A that is characterized by:

- A high cost of capital (that may be manifested by high yields on government bonds denominated in local currency) and, in addition,
- The index of the stock market in Country A historically has exhibited very volatile returns linked to volatile economic conditions of Country A.

These economic factors indicate a relatively high risk of investing capital in Country A.

If the identification of a sufficient number of functionally comparable uncontrolled taxpayers based in Country A proves difficult, it would be reasonable to turn to other regions in search for comparables.

Let's assume that Country B has a sufficient number of functionally comparable uncontrolled taxpayers that disclose their financial data. Country B has:

- A low cost of capital environment (e.g., yields on government bonds in this country are low) and
- A relatively stable stock market.

Based on this information, it would be logical to conclude that, for the same type of business activity, the cost of capital in Country B will be lower than in Country A. Thus, independent investors in a company located in Country A should be expecting ex-ante to earn a higher return on their capital than investors in a similarly situated company in Country B. This leads to a conclusion

⁴ The series of articles on location specific advantages published by NERA authors can be considered as a reference. See: S. Gonnet et al., "Location Specific Advantages: An Economist's Viewpoint". *Transfer Pricing International Journal*, Special issue: November 2011

that profitability of a company located in Country A expected ex-ante should be higher than profitability of the same company in Country B.

However, due to the higher volatility of the economic conditions in country A, it may be possible that a company located in Country A earns lower actual returns (i.e., ex-post returns) than the similar company in Country B (although it is also possible that the returns of a company in Country A will end up higher than in Country B).

If the arm's length range of returns for Country A is being computed using the comparables from Country B with the adjustment for economic conditions of Country A, based on the differences in the cost of capital and market volatility assumed above, the result will likely be that the arm's length range in Country A:

- Will have a higher median and
- Be wider compared to Country B. It is even possible that the lower bound of the Country A's arm's length range will lie below the lower bound of the unadjusted range derived from the Country B comparables.

Thus, in the case of localized markets, when applying results of the comparables from a specific country or region to a controlled party located in another country characterized by dissimilar cost of capital and/or economic dynamics, it is important to distinguish between:

- Targeting the expected, i.e., ex-ante, returns of the controlled party and
- Testing its actual, i.e., ex-post returns.

Targeting of the expected returns can be accomplished by applying the cost-of-capital ("WACC") adjustment described in two papers by the NERA authors,⁵ while testing of the ex-post outcomes has to take into account the observable differences in volatility of returns on invested capital. One such method is discussed in another NERA paper.⁶

⁵ These two papers are: (1) S. Gonnet, V. Starkov and M. Maitra, "Comparability adjustments in the absence of suitable local comparables in emerging and developing economies", *Transfer Pricing International Journal*, July, 2013, and (2) V. Starkov, S. Gonnet, A. Pletz, and M. Maitra, "Comparability adjustments in the absence of suitable local comparables in emerging and developing economies – Case studies", *Transfer Pricing International Journal*, March 2014.

⁶ V. Starkov, M. Maitra, and A. Li. 2015, "Comparability adjustments in the absence of suitable local comparables in emerging and developing economies – Adjustment for risk", *Transfer Pricing International Journal*, May 2015.

It is clear, however, that any adjustment methods that involve comparables from a different country or region should be used with caution. For instance, the above adjustments for countries with limited liquidity of the markets for government bonds and equities may not be sufficiently reliable.

When using foreign comparables, it is important to consider the degree to which the markets and the economic conditions of the foreign country are comparable to the country in question. In general, it would be preferable to source comparables from the country or region with similar economic conditions. When the economic and market conditions are dissimilar between the country from which independent comparables can be drawn and the country of the tested party, we advocate a case-by-case approach to any comparability adjustments. Such case-by-case approach should consider a broad set of factors that are similar and different between the countries in question, such as macroeconomic indicators, efficiency and liquidity of the markets, bargaining power of the parties, etc.

Many possible qualitative methods to adjust for differences in geographic markets exist or could be developed. As a general rule, we do not think it is possible or desirable to establish an exhaustive list of such methods in the Draft Toolkit, even though the Draft Toolkit may contain references to some methods and best practices, as it does now. We believe that additional research on comparability across economic regions would be beneficial for further development of this topic.

6. Do the mineral pricing case studies accurately reflect market trading terms? Are there other adjustments that would be routinely made when these mineral products are sold?

As a general comment, we note that the Minerals Draft relies heavily on the application of the CUP method and use of spot market prices for commodities. Based on our experience, many arm's length arrangements for mineral extraction do not rely on spot market prices. Examples of such arrangements are long-term contracts, production sharing agreements, streaming agreements, etc. Moreover, volumes of commodities transacted under such arrangements in certain cases may far exceed the volumes bought and sold on the spot market.

Additionally, we believe that other methods, such as the TNMM or the Profit Split Method may be more valid than the CUP method in a number of situations related to the extraction industry. The fact that multinational groups involved in mineral extraction have integrated operations is often overlooked by practitioners who are drawn to the application of CUP method based on the mere fact of availability of pricing information for certain commodities.

We also note that the Mineral Draft does not discuss the concept of Location Specific Advantages which, based on our experience, may be relevant in this industry.